

Canada and the World:
A Strengths, Weaknesses, Opportunities, Threats (SWOT) Analysis

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Introduction

The world is changing, and the question Canadians are wondering, how should Canada deal with this? The decline of the United States and the liberal international order, paired with the rise of China and the rest of the Indo-Pacific region creates many challenges Canada will have to face soon. This analysis and recommendations will focus on making sure Canada maintains its beliefs and values, while also adapting to the changing global order. This will be done through fostering new relationships in the Indo-Pacific, but not forgetting its relationship with the United States and the rest of the West; and working with other democratic middle powers to attempt to maintain the liberal international order.

SWOT Analysis

Strengths

Many of Canada's strengths in world affairs comes down to its strong relationship with its only neighbor, The United States; its involvement in many multilateral treaties; and Canada's stance on liberal democracy. The United States, which is the world's largest economy with a GDP of \$23 trillion, is Canada's biggest trading partner and ally in world affairs (The World Bank 2022). The U.S. made 71.8% of Canada's exports in 2021, which is a substantial number which really highlights the importance of the Canada - U.S. relationship (Government of Canada 2022). The US is also home to the strongest military in the world, giving Canada's access to the United States' security through multiple bilateral treaties, such as the North American Aerospace Defense Command (NORAD) and the Military Cooperation Committee (Government of Canada n.d.). Even with this strong relationship with the United States, that has not stopped Canada from extending its reach towards the rest of the globe. As Rohinton Medhora (2022) states it, "Canada has played an outsized role in shaping and running the international political ecosystem." Canada has been able to have this role on the international stage due to Canada's ideologies fitting in perfectly with the liberal international order which has been the standard for much of Canada's time as a nation. This is because of the "features [of the liberal international order] help middle power countries like Canada advance international cooperation and find peaceful solutions to conflicts (Rashchupkina 2022 p.183). These factors have allowed Canada to prosper as a nation regardless of it being considered a 'newer' country.

Weaknesses

Although Canada has many strengths, many of those factors that give it its strength also has opposing effects, leading to Canada's weaknesses both directly and indirectly. Such examples of Canada's weaknesses are the struggle of being the middleman between China and the United States; and Canada's economy being heavily dependent on exports. Tensions between Canada and China have been growing since the arrest of Huawei's financial officer Meng Wenzhou in 2018 and seems to be a continuing concern after seeing hostile interactions between Canada's Prime Minister Justin Trudeau and China's President Xi Jinping at the 2022 G20 summit (Cecco 2022). Since China is Canada's second largest economic partner, "economic dependency and the risks of retaliation from both China and the US pressure Canada to take a more cautious and plurilateral approach" (Rashchupkina 2022 p.187). This is because any

agreements Canada makes with China can cause disruptions with Canada's relationship with the United States and vice versa. These relationships with China and the United States are essential since in 2021 Canada's trade in goods and services was valued at 61.4% of total GDP (Government of Canada, 2022). This large percent of GDP is a Canadian weakness as it creates a large vulnerability to Canada's economy, as any negative change in global trade will be heavily impactful on Canadian industries. These two factors are important in determining the route Canada should take in its foreign policy decisions as they both put Canada in vulnerable positions.

Opportunities

Canada's position as a middle power with a large voice on the global stage, and reasonable access geographically to the Indo-Pacific both acts as perfect opportunities for Canada's foreign policy. Canada can work with other middle powers that have the same goals and ambitions as Canada to maintain the liberal international order. Nations like Sweden, the United Kingdom and Australia have all make democracy a focus in their foreign policy agendas, much like Canada has itself (Kleinfeld et al. 2021p 11). But showing support for democracy is not enough to sway the global order, as Kleinfeld et al. (2021) state it, "democratic governments can show themselves to be capable of adequately addressing some of the biggest economic and social issues that preoccupy their citizens rather than expecting them to support democracy simply as a set of attractive political principles" (p. 15). If these middle power nations work together to show the world the capacities of democracy, it may be able to sway the way current non-democratic nations view democracy and may aim to adopt it themselves. The other opportunity, which Canada has already begun to look towards with the Indo-Pacific Strategy, focuses on the opportunities Canada can take advantage of as the Indo-Pacific region grows. The Indo-Pacific Strategy reports that by 2040, the Indo-Pacific region will make up 50% of the global GDP (2023). This transition to the Indo-Pacific region gives Canada the ability to diversify its export economy to new levels, and less of a reliance on the United States. If Canada takes advantage of these opportunities, we can see Canada to continue to prosper economically, and maintain the influence of democracy in the global order, which will continue to give middle powers like Canada a voice in international affairs.

Threats

Although Canada has been in a good position the last few decades, it seems that Canada may face troubles in the following decades. As the global order changes, and the United States becomes more focused on domestic affairs, Canada may lose many of its most powerful cards. The rise of China and much of United States previous President, Donald Trump's rhetoric and actions seem to have large roles on the fall of the liberal international order (Mearsheimer 2019). What these means for Canada, is that the influence Canada has been able to secure through the liberal international order and multilateralism is crumbling, reducing Canada's sphere of influence greatly. This added onto the diminishing powers of the United States as the nation's faces its own domestic affairs and takes a protectionism approach puts Canada in a difficult position. Since Donald Trump has come and go, protectionism seems like the new common approach in U.S. politics, which was once a nation on the forefront of promoting free trade (The

Economist 2023). Protectionist policies in the United States have a massive impact on the Canadian economy, which relies heavily on the United States for its exports. This added onto the civil unrest as seen at the capitol riots in the U.S. has other impacts on Canada such as loss of military support and putting Canada in situations with China that it is not prepared for (Williams 2022). If Canada loses its sphere of influence globally and its biggest trading partner, it's going to be tough for Canada to make any real comeback.

Canadian Foreign Policy Priorities for 2023 – 2033

As the global order continues to change Canada is put in a difficult position to maintain its position a major player in the global economy and politics. By taking the previous analysis of Canada's strengths, weaknesses, opportunities, and threats into consideration, these are the conditions that Canada's foreign policy makers should prioritize for the next ten years if they want the nation to continue to prosper.

1. As the global paradigm strays away from the liberal international order, this does not mean that Canada should stray away from its beliefs to 'fit in.' Therefore, Canada should continue to push the world back towards the liberal international order, so Canada does not lose its voice on the world stage.
2. To push the world back towards the liberal international order, Canada should foster strong relationships with other democratic middle powers to promote the capacities of democracy to the world. But this promotion must be through practice and not just ideological thought.
3. As the Indo-Pacific begins to dominate the world market, Canada should strive to find ways to be a major player in the Indo-Pacific, while not destroying relationships with the West. This will be a difficult balance for Canada but is essential for Canada if it wants to continue to prosper.
4. Although the power of the United States seems to be dissipating, Canada should not forget how important the Canada-U.S. relationship is and should work towards bringing the countries closer together than they have ever been due to the rich history, culture, and people the nations share.

These policy priorities must be at the forefront of Canadian policy if Canada wants to stay relevant in these changing times. All these policies must come with proper cost benefit analysis, finding the perfect balance how much implementation should be done to maximize Canada's chances at prosperity.

Bibliography & Literature Review

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YouTube video, <https://www.youtube.com/watch?v=4TEh6aPzG94>

Recommending three pillars of approach Canada should consider if it wants to prosper in the change of the global order. The first being that the world democracies should strengthen their community. The second is to pull the 'in-between' nations towards democracy. And the final pillar is to take a thoughtful approach to creating relationships with the world's autocrats.

Canadian International Council, Canadian Partnership for Women and Children's Health, and Global Canada . (2021). "Foreign Policy by Canadians: Conclusions and Implications."
https://canwach.ca/wp-content/uploads/2021/06/Deliberations-figures-FPBC_Conclusions-and-Implications-ENGLISH-VS-FINAL3-1.pdf

An analysis on a group of Canada's on relation to Canada foreign policy. The analysis found that Canada's believe that Canada has an important role in maintaining the status quo, promoting individual rights. And that Canada should continue to be at the forefront of promoting democracy.

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Kleinfeld, Rachel, Thomas Carothers, Steven Feldstein, and Richard Youngs. (2021). "How Middle-Power Democracies Can Help Renovate Global Democracy Support." *Carnegie Endowment For International Peace*.

https://carnegieendowment.org/files/Kleinfeld_etal_Middle_Powers.pdf

As the United States falls as the powerhouse of democracy, democratic middle powers must work together to ensure the liberal international order continues to benefit these democratic middle powers.

Mearsheimer, John J. "Bound to Fail: The Rise and Fall of the Liberal International Order." *International Security* 43, no. 4 (2019): 7-50. doi: https://doi.org/10.1162/isec_a_00342

History lesson on the rise of the liberal international order, and as it seems as of 2019, to be falling apart, and potential replacements to the liberal international order.

Medhora, Rohinton. 2022. "Maximizing Influence without Having Control." *In Situating Canada in a Changing World: Constructing a Modern and Prosperous Future*, Centre for International Governance innovation. <https://www.cigionline.org/articles/maximizing-influence-without-having-control/>

Explains Canada's situation in the global order, and the importance of multilateral treaties in allowing Canada to make some change. This all related to Canada's role in climate change, big data, and the pandemic. But this global order that Canada benefits from is under threat.

Morgan, Michael. (2022). Michael Coty Morgan, "Situating Canada in a Shifting Geopolitical Context." *In Situating Canada in a Changing World: Constructing a Modern and Prosperous Future*, Centre for International Governance innovation. <https://www.cigionline.org/articles/canada-in-a-shifting-geopolitical-context/>

The growth of the Canadian, US relationship as global power shifted away from Britain to the US. Because of this Canada had to situate itself in this change, and how contemporary dynamics are changing, putting Canada in this position again.

Pakin, Steve. (2022).. "Is Canada Charting a New Foreign Policy Path." *tvo today*. https://www.tvo.org/video/is-canada-charting-a-new-foreign-policy-path?utm_source=cigi_newsletter&utm_medium=email&utm_campaign=iranian-women-deploy-social-media-in-fight-for-rights

How Canada is shifting its foreign policy agenda, such as with the Indo-Pacific strategy and the Freeland doctrine as the global order moves away from the current liberal international order.

Rashchupkina, Yuliya. "Canadian foreign politics: is there any chance of making headway in preserving the liberal international order?" *Canadian Foreign Policy Journal* 28, no. 2 (2022): 180-190. <https://doi.org/10.1080/11926422.2022.2033286>

Canada is put in a weird position, being the middleman of China and the US, but can make substantial change through multilateral institutions and newly emerging partnerships. Recommends Canada to reduce trade in China and invest in other growing Asian markets.

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